

SEARS FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1178
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 32-1501, Arizona Revised Statutes, is amended to
3 read:

4 32-1501. Definitions

5 In this chapter, unless the context otherwise requires:

6 1. "Accepted therapeutic purpose" means treatment of a disease,
7 injury, ailment or infirmity that is competent and generally recognized as
8 safe and effective.

9 2. "Active license" means a current valid license to practice
10 naturopathic medicine.

11 3. "Adequate medical records" means legible medical records
12 containing, at a minimum, sufficient information to identify the patient,
13 support the diagnosis, describe the treatment, accurately document the
14 results, indicate advice and cautionary warning provided to the patient
15 and provide sufficient information for a similarly qualified practitioner
16 to assume continuity of the patient's care at any point in the course of
17 treatment.

18 4. "Approved clinical training program" or "clinical training
19 program" means a program for naturopathic medical students in which the
20 training occurred or is being conducted by or in conjunction with an
21 approved school of naturopathic medicine.

22 5. "Approved internship program" or "internship" means that the
23 program in which the training occurred or is being conducted has been
24 approved for internship training for physicians or for graduates of a
25 school of naturopathic medicine by the board or was approved or accredited
26 by an educational or professional association recognized by the board or
27 by another state's or country's licensing agency recognized by the board.

28 6. "Approved postdoctoral training" or "postdoctoral training"
29 means that the program in which the training occurred or is being

1 conducted has been approved for specialty training or for graduate medical
2 education in naturopathic medicine by the board or approved or accredited
3 by an educational or professional association recognized by the board or
4 by another state's or country's licensing agency recognized by the board.

5 7. "Approved preceptorship program" or "preceptorship" means that
6 the program in which the training occurred or is being conducted has been
7 approved for preceptorship training for physicians or for graduates of a
8 school of naturopathic medicine by the board or was approved or accredited
9 by an educational or professional association recognized by the board or
10 by another state's or country's licensing agency recognized by the board.

11 8. "Approved school of naturopathic medicine" or "school of
12 naturopathic medicine" means a school, college or university determined by
13 the board to have an educational program that meets standards prescribed
14 by the council on naturopathic medical education, or its successor agency,
15 and that offers a course of study that, on successful completion, results
16 in the awarding of the degree of doctor of naturopathic medicine and whose
17 course of study is either of the following:

18 (a) Accredited or a candidate for accreditation by an accrediting
19 agency recognized by the United States secretary of education as a
20 specialized accrediting agency for schools of naturopathic medicine or its
21 successor.

22 (b) Accredited or a candidate for accreditation by an accrediting
23 agency recognized by the council for higher education accreditation or its
24 successor.

25 9. "Board" means the naturopathic physicians medical board.

26 10. "Chelation therapy" means an experimental medical therapy to
27 restore cellular homeostasis through the use of intravenous, metal-binding
28 and bioinorganic agents such as ethylene diamine tetraacetic acid.
29 Chelation therapy does not include experimental therapy used to treat
30 heavy metal poisoning.

31 11. "Completed application" means that the applicant paid the
32 required fees and supplied all documents and information as requested by
33 the board and in a manner acceptable to the board.

34 12. "Controlled substance" means a drug, substance or immediate
35 precursor in schedules I through V of title 36, chapter 27, article 2 or
36 the rules adopted pursuant to title 36, chapter 27, article 2.

37 13. "Direct supervision" means that a physician who is licensed
38 pursuant to this chapter or chapter 13, 17 or 29 of this title:

39 (a) Is physically present and within sight or sound of the person
40 supervised and is available for consultation regarding procedures that the
41 physician has authorized and for which the physician remains responsible.

42 (b) Has designated a person licensed pursuant to this chapter or
43 chapter 13, 17 or 29 of this title to provide direct supervision in the
44 physician's absence.

45 14. "Doctor of naturopathic medicine" or "doctor" means a natural
46 person who is licensed to practice naturopathic medicine under this
47 chapter.

1 15. "Drug" has the same meaning prescribed in section 32-1901[AND
2 INCLUDES ESSENTIAL OFF-PATENT OR GENERIC DRUGS AS DEFINED IN SECTION 36-
3 4301] but does not include:

4 (a) Intravenous administration of legend drugs, except for:

5 (i) Vitamins, chelation therapy, ANTIBIOTICS, ANTIVIRALS,
6 ANTIFUNGALS and drugs used in emergency resuscitation and stabilization.

7 (ii) Minerals.

8 (iii) Nutrients. For the purposes of this item, "nutrient" means a
9 substance that provides nourishment for growth or metabolism and that is
10 manufactured and supplied for intravenous use by a manufacturer registered
11 with the United States food and drug administration or compounded by a
12 pharmacy licensed by the Arizona state board of pharmacy.

13 (b) Controlled substances listed as schedule I or II controlled
14 substances as defined in the federal controlled substances act of 1970
15 (21 United States Code section 802), except morphine, any drug that is
16 reclassified from schedule III to schedule II after January 1, 2014 and
17 any homeopathic preparations that are also controlled substances.

18 (c) Cancer chemotherapeutics classified as legend drugs.

19 (d) Antipsychotics.

20 16. "General supervision" means that the physician is available for
21 consultation regarding procedures that the physician has authorized and
22 for which the physician remains responsible.

23 17. "Legend drug" means any drug that is defined by section 503(b)
24 of the federal food, drug, and cosmetic act and under which definition its
25 label is required to bear the statement "Rx only".

26 18. "Letter of concern" means a nondisciplinary advisory letter
27 that is issued by the board to a person who is regulated under this
28 chapter and that states that while there is insufficient evidence to
29 support disciplinary action the board believes that the person should
30 modify or eliminate certain practices and that continuation of the
31 activities that led to the information being submitted to the board may
32 result in action against the person's license, certificate or
33 registration.

34 19. "Letter of reprimand" means a disciplinary letter that is
35 issued by the board and that informs a person who is regulated under this
36 chapter that the person's conduct violates state or federal law but does
37 not require the board to restrict the person's license, certificate or
38 registration because the person's conduct did not result in harm to a
39 patient or to the public.

40 20. "Limit" means taking a nondisciplinary action that alters the
41 physician's practice or professional activities if the board determines
42 that there is evidence that the physician is or may be mentally or
43 physically unable to safely engage in the practice of medicine.

44 21. "Medical assistant" or "naturopathic medical assistant" means a
45 person who is certified by the board as a medical assistant, who assists a
46 doctor of naturopathic medicine and who may perform delegated procedures
47 that are commensurate with the assistant's education and training under

1 the direct supervision of a doctor of naturopathic medicine and that do
2 not include diagnosing, designing or modifying established treatment
3 programs or those procedures prohibited by the board or by this chapter.

4 22. "Medically incompetent" means a person who is licensed,
5 certified or registered pursuant to this chapter and who lacks sufficient
6 naturopathic medical knowledge or skills, or both, to a degree that is
7 likely to endanger the health of patients.

8 23. "Natural substance" means a homeopathic, botanical, nutritional
9 or other supplement that does not require a prescription pursuant to
10 federal law before it is prescribed, dispensed or otherwise furnished to a
11 patient and that is prescribed by a physician who is licensed pursuant to
12 this chapter to enhance health, prevent disease or treat a medical
13 condition diagnosed by the physician.

14 24. "Naturopathic medical student" means a person who is enrolled
15 in a course of study at an approved school of naturopathic medicine.

16 25. "Naturopathic medicine" means medicine as taught in approved
17 schools of naturopathic medicine and in clinical, internship,
18 preceptorship and postdoctoral training programs approved by the board and
19 practiced by a recipient of a degree of doctor of naturopathic medicine
20 WHO IS licensed pursuant to this chapter.

21 26. "Nurse" means a person who is licensed pursuant to chapter 15
22 of this title.

23 27. "Physician" means a doctor of naturopathic medicine who is
24 licensed pursuant to this chapter.

25 28. "Practice of naturopathic medicine" means a medical system of
26 diagnosing and treating diseases, injuries, ailments, infirmities and
27 other conditions of the human mind and body, including by natural means,
28 drugless methods, drugs, [INCLUDING ESSENTIAL OFF-PATENT OR GENERIC DRUGS
29 AS DEFINED IN SECTION 36-4301.] nonsurgical methods, devices, physical,
30 electrical, hygienic and sanitary measures and all forms of physical
31 agents and modalities.

32 29. "Restrict" means taking a disciplinary action that alters the
33 physician's practice or professional activities if the board determines
34 that there is evidence that the physician is or may be medically
35 incompetent or guilty of unprofessional conduct.

36 30. "Specialist" means a physician who has successfully completed
37 approved postdoctoral training, who is certified by a specialty board of
38 examiners recognized by the board and who is certified by the board to
39 practice the specialty pursuant to this chapter.

40 31. "Unprofessional conduct" includes the following, whether
41 occurring in this state or elsewhere:

42 (a) Intentionally disclosing a professional secret or intentionally
43 disclosing a privileged communication except as either of these may
44 otherwise be required by law.

45 (b) Engaging in any dishonorable conduct reflecting unfavorably on
46 the profession.

1 (c) Committing a felony, whether or not involving moral turpitude,
2 or a misdemeanor involving moral turpitude. In either case conviction by
3 any court of competent jurisdiction or a plea of no contest is conclusive
4 evidence of the commission of the felony or misdemeanor.

5 (d) Habitual intemperance in the use of alcohol or any substance
6 abuse.

7 (e) Engaging in the illegal use of any narcotic or hypnotic drugs,
8 or illegal substances.

9 (f) Engaging in conduct that the board determines is gross
10 malpractice, repeated malpractice or any malpractice resulting in the
11 death of a patient.

12 (g) Impersonating another doctor of naturopathic medicine or any
13 other practitioner of the healing arts.

14 (h) Falsely acting or assuming to act as a member, an employee or
15 an authorized agent of the board.

16 (i) Procuring or attempting to procure a license or a certificate
17 pursuant to this chapter by fraud, by misrepresentation or by knowingly
18 taking advantage of the mistake of another person or agency.

19 (j) Having professional connection with or lending one's name to
20 enhance or continue the activities of an illegal physician or an illegal
21 practitioner of any healing art.

22 (k) Representing that a manifestly incurable disease, injury,
23 ailment or infirmity can be permanently cured, or falsely or fraudulently
24 representing that a curable disease, injury, ailment or infirmity can be
25 cured within a stated time.

26 (l) Offering, undertaking or agreeing to cure or treat a disease,
27 injury, ailment or infirmity by a secret means, method, treatment,
28 medicine, substance, device or instrumentality.

29 (m) Refusing to divulge to the board on demand the means, method,
30 treatment, medicine, substance, device or instrumentality used in the
31 treatment of a disease, injury, ailment or infirmity.

32 (n) Giving or receiving, or aiding or abetting the giving or
33 receiving of, rebates, either directly or indirectly.

34 (o) Knowingly making any false or fraudulent statement, written or
35 oral, in connection with the practice of naturopathic medicine or any
36 naturopathic treatment method.

37 (p) Engaging in immorality or misconduct that tends to discredit
38 the naturopathic profession.

39 (q) Having a license refused, revoked or suspended by any other
40 state, district or territory of the United States or any other country,
41 unless it can be shown that this action was not due to reasons that relate
42 to the ability to safely and skillfully practice as a doctor of
43 naturopathic medicine or to any act of unprofessional conduct in this
44 paragraph.

45 (r) Engaging in any conduct or practice that is contrary to
46 recognized standards of ethics of the naturopathic profession, any conduct
47 or practice that does or might constitute a danger to the health, welfare

1 or safety of the patient or the public, or any conduct, practice or
2 condition that does or might impair the ability to safely and skillfully
3 practice as a doctor of naturopathic medicine.

4 (s) Failing to observe any federal, state, county or municipal law
5 relating to public health as a physician in this state.

6 (t) Violating or attempting to violate, directly or indirectly, or
7 assisting in or abetting the violation of, or conspiring to violate this
8 chapter or board rules.

9 (u) Committing false, fraudulent, deceptive or misleading
10 advertising or advertising the quality of a medical or health care service
11 by a physician or by the physician's staff, employer or representative.

12 (v) Failing or refusing to maintain adequate medical records on a
13 patient or failing or refusing to make medical records in the physician's
14 possession promptly available to another physician or health care provider
15 who is licensed pursuant to chapter 7, 8, 13, 15, 17 or 29 of this title
16 on request and receipt of proper authorization to do so from the patient,
17 a minor patient's parent, the patient's legal guardian or the patient's
18 authorized representative or failing to comply with title 12, chapter 13,
19 article 7.1.

20 (w) Referring a patient to a diagnostic or treatment facility or
21 prescribing goods and services without disclosing in writing to the
22 patient that the physician has a pecuniary interest in the facility, goods
23 or services to which the patient is referred or prescribed. This
24 subdivision does not apply to a referral by one physician or practitioner
25 to another physician or practitioner within a group of physicians or
26 practitioners practicing together.

27 (x) Engaging in sexual intimacies with a patient in the course of
28 direct treatment.

29 (y) Failing to dispense drugs and devices in compliance with
30 article 4 of this chapter.

31 (z) Administering, dispensing or prescribing any drug or a device
32 for other than an accepted therapeutic purpose.

33 (aa) Falsely representing or holding oneself out as being a
34 specialist or representation by a doctor of naturopathic medicine or the
35 doctor's staff, employer or representative that the doctor is boarded or
36 board certified if this is not true or that standing is not current.

37 (bb) Delegating professional duties and responsibilities to a
38 person if the person has not been approved or qualified by licensure or by
39 certification to perform these duties or responsibilities.

40 (cc) Failing to appropriately supervise a naturopathic medical
41 student, a nurse, a medical assistant, a health care provider or a
42 technician who is employed by or assigned to the physician during the
43 performance of delegated professional duties and responsibilities.

44 (dd) Using experimental forms of diagnosis or treatment without
45 adequate informed consent of the patient or the patient's legal guardian
46 and without conforming to experimental criteria, including protocols,
47 detailed records, periodic analysis of results and periodic review by a

1 medical peer review committee as approved by the United States food and
2 drug administration or its successor agency.

3 (ee) Failing to furnish information in a timely manner to the board
4 or investigators or representatives of the board if this information is
5 legally requested by the board and failing to allow properly authorized
6 board personnel on demand to examine and have access to documents, reports
7 and records maintained by the physician that relate to the physician's
8 medical practice or medically related activities.

9 (ff) Failing to report in writing to the board evidence that a
10 person who is licensed, certified or registered pursuant to this chapter
11 is or may be medically incompetent, guilty of unprofessional conduct or
12 mentally or physically unable to safely practice or assist in the practice
13 of naturopathic medicine.

14 (gg) Conducting or engaging in an internship or preceptorship in
15 naturopathic medicine without being approved and registered by the board
16 for that internship or preceptorship.

17 (hh) Signing a blank, undated or predated prescription form.

18 (ii) Engaging in conduct that the board determines is gross
19 negligence, repeated negligence or negligence resulting in harm or death
20 to a patient.

21 (jj) Knowingly making a false or misleading statement in oral
22 testimony to the board on a form required by the board or in written
23 correspondence to the board, including attachments to that correspondence.

24 (kk) The failure of a physician who is the chief medical officer,
25 the executive officer or the chief of staff of an internship, a
26 preceptorship or a clinical training program to report in writing to the
27 board that the privileges of a doctor of naturopathic medicine, a
28 naturopathic medical student or a medical assistant have been denied,
29 limited, revoked or suspended because that doctor's, student's or
30 assistant's actions appear to indicate that the person is or may be
31 medically incompetent, is or may be guilty of unprofessional conduct or is
32 or may be unable to safely engage or assist in the practice of
33 naturopathic medicine.

34 (ll) Having action taken against a doctor of naturopathic medicine
35 by a licensing or regulatory board in another jurisdiction due to that
36 doctor's mental or physical inability to engage safely in the practice of
37 naturopathic medicine or the doctor's medical incompetence or for
38 unprofessional conduct as defined by that licensing or regulatory board
39 and that corresponds directly or indirectly to an act of unprofessional
40 conduct prescribed by this paragraph. The action taken may include
41 refusing, denying, revoking or suspending a license, otherwise limiting,
42 restricting or monitoring a licensee or placing a licensee on probation by
43 that licensing or regulatory board.

44 (mm) Having sanctions imposed by an agency of the federal
45 government, including restricting, suspending, limiting or removing a
46 person from the practice of naturopathic medicine or restricting that
47 person's ability to obtain financial remuneration.

- 1 (nn) Violating any formal order, probation, consent agreement or
2 stipulation issued or entered into by the board pursuant to this chapter.
- 3 (oo) Refusing to submit to a body fluid examination pursuant to a
4 board investigation of alleged substance abuse by a doctor of naturopathic
5 medicine.
- 6 (pp) Charging a fee for services not rendered or dividing a
7 professional fee for patient referrals among health care providers or
8 health care institutions or between these providers and institutions or a
9 contractual arrangement that has this effect.
- 10 (qq) Obtaining a fee by fraud, deceit or misrepresentation.
- 11 (rr) Charging or collecting a clearly excessive fee. In
12 determining whether a fee is clearly excessive, the board shall consider
13 the fee or range of fees customarily charged in this state for similar
14 services, in light of modifying factors such as the time required, the
15 complexity of the service and the skill required to perform the service
16 properly. This subdivision does not apply if there is a clear written
17 contract for a fixed fee between the physician and the patient that was
18 entered into before the service was provided.
- 19 (ss) With the exception of heavy metal poisoning, using chelation
20 therapy in the treatment of arteriosclerosis or as any other form of
21 therapy without adequate informed patient consent and without conforming
22 to generally accepted experimental criteria, including protocols, detailed
23 records, periodic analysis of results and periodic review by a medical
24 peer review committee.
- 25 (tt) Using a controlled substance unless it is prescribed by
26 another physician for use during a prescribed course of treatment.
- 27 (uu) Prescribing, dispensing or administering anabolic androgenic
28 steroids for other than therapeutic purposes.
- 29 (vv) Except in an emergency or urgent care situation, prescribing
30 or dispensing a controlled substance to a member of the naturopathic
31 physician's immediate family.
- 32 (ww) Prescribing, dispensing or furnishing a prescription
33 medication or a prescription-only device as defined in section 32-1901 to
34 a person unless the licensee first conducts a physical examination of that
35 person or has previously established a doctor-patient relationship. The
36 physical examination may be conducted through telehealth as defined in
37 section 36-3601 unless the examination is for the purpose of obtaining a
38 written certification from the physician for the purposes of title 36,
39 chapter 28.1. This subdivision does not apply to:
- 40 (i) A licensee who provides temporary patient supervision on behalf
41 of the patient's regular treating licensed health care professional.
- 42 (ii) An emergency medical situation as defined in section 41-1831.
- 43 (iii) Prescriptions written to prepare a patient for a medical
44 examination.
- 45 (iv) Prescriptions written or prescription medications issued for
46 use by a county or tribal public health department for immunization
47 programs or emergency treatment or in response to an infectious disease

1 investigation, a public health emergency, an infectious disease outbreak
2 or an act of bioterrorism. For the purposes of this item, "bioterrorism"
3 has the same meaning prescribed in section 36-781.

4 (v) Prescriptions written or antimicrobials dispensed to a contact
5 as defined in section 36-661 who is believed to have had significant
6 exposure risk as defined in section 36-661 with another person who has
7 been diagnosed with a communicable disease as defined in section 36-661 by
8 the prescribing or dispensing physician.

9 (vi) Prescriptions written by a licensee through a telehealth
10 program that is covered by the policies and procedures adopted by the
11 administrator of a hospital or outpatient treatment center.

12 (xx) If medical treatment is considered experimental or
13 investigational, failing to include in a patient's record a consent to
14 treatment document that is signed by the patient or the patient's parent
15 or legal guardian and that indicates that the patient or the patient's
16 parent or legal guardian has been informed of the risk of any treatment to
17 be provided and the expected cost of that treatment.

18 (yy) When issuing a written certification as defined in section
19 36-2801, failing or refusing to include in the adequate medical records of
20 a patient a copy of all of the following:

21 (i) The medical records relied on by the physician to support the
22 diagnosis or confirmed diagnosis of the patient's debilitating medical
23 condition.

24 (ii) The written certification.

25 (iii) The patient's profile on the Arizona board of pharmacy
26 controlled substances prescription monitoring program database.

27 (zz) Dispensing a schedule II controlled substance that is an
28 opioid.

29 <<Sec. 2. Title 36, Arizona Revised Statutes, is amended by adding
30 chapter 42, to read:

31 CHAPTER 43
32 PRESCRIPTION DRUGS
33 ARTICLE 1. PRICING
34

35 36-4301. Definitions

36 [IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

37 1. "ESSENTIAL OFF-PATENT OR GENERIC DRUG":

38 (A) MEANS ANY PRESCRIPTION DRUG THAT MEETS ALL OF THE FOLLOWING:

39 (I) ALL EXCLUSIVE MARKETING RIGHTS, IF ANY, GRANTED UNDER THE
40 FEDERAL FOOD, DRUG, AND COSMETIC ACT, SECTION 351 OF THE FEDERAL PUBLIC
41 HEALTH SERVICE ACT, AND FEDERAL PATENT LAW HAVE EXPIRED.

42 (II) EITHER APPEARS ON THE MODEL LIST OF ESSENTIAL MEDICINES MOST
43 RECENTLY ADOPTED BY THE WORLD HEALTH ORGANIZATION OR HAS BEEN DESIGNATED
44 BY THE SECRETARY OF THE UNITED STATES DEPARTMENT OF HEALTH AND HUMAN
45 SERVICES AS AN ESSENTIAL MEDICINE DUE TO ITS EFFICACY IN TREATING A
46 LIFE-THREATENING HEALTH CONDITION OR A CHRONIC HEALTH CONDITION THAT

1 SUBSTANTIALLY IMPAIRS AN INDIVIDUAL'S ABILITY TO ENGAGE IN ACTIVITIES OF
2 DAILY LIVING.

3 (III) IS ACTIVELY MANUFACTURED AND MARKETING FOR SALE IN THE UNITED
4 STATES BY THREE OR FEWER MANUFACTURERS.

5 (IV) IS MADE AVAILABLE FOR SALE IN THIS STATE.

6 (B) INCLUDES ANY DRUG-DEVICE COMBINATION PRODUCT USED TO DELIVER A
7 DRUG FOR WHICH ALL EXCLUSIVE MARKETING RIGHTS, IF ANY, GRANTED UNDER THE
8 FEDERAL FOOD, DRUG, AND COSMETIC ACT, SECTION 351 OF THE FEDERAL PUBLIC
9 HEALTH SERVICE ACT, AND FEDERAL PATENT LAW HAVE EXPIRED.

10 2. "PRICE GOUGING" MEANS AN UNCONSCIONABLE INCREASE IN THE PRICE OF
11 A PRESCRIPTION DRUG.

12 3. "STATE MEDICAL ASSISTANCE PROGRAM" MEANS THE ARIZONA HEALTH CARE
13 COST CONTAINMENT SYSTEM ESTABLISHED BY CHAPTER 29 OF THIS TITLE.

14 4. "UNCONSCIONABLE INCREASE" MEANS AN INCREASE IN THE PRICE OF A
15 PRESCRIPTION DRUG THAT BOTH:

16 (A) IS EXCESSIVE AND NOT JUSTIFIED BY THE COST OF PRODUCING THE
17 PRESCRIPTION DRUG OR THE COST OF APPROPRIATE EXPANSION OF ACCESS TO THE
18 PRESCRIPTION DRUG TO PROMOTE PUBLIC HEALTH.

19 (B) RESULTS IN CONSUMERS FOR WHOM THE PRESCRIPTION DRUG HAS BEEN
20 PRESCRIBED HAVING NO MEANINGFUL CHOICE ABOUT WHETHER TO PURCHASE THE
21 PRESCRIPTION DRUG AT AN EXCESSIVE PRICE BECAUSE OF THE IMPORTANCE OF THE
22 PRESCRIPTION DRUG TO THE CONSUMER'S HEALTH AND INSUFFICIENT COMPETITION IN
23 THE MARKET FOR THE PRESCRIPTION DRUG.

24 5. "WHOLESALE ACQUISITION COST" HAS THE SAME MEANING PRESCRIBED IN
25 42 UNITED STATES CODE SECTION 1395W-3A.]

26 36-4302. Manufacturers; wholesale distributors; price gouging
27 prohibited

28 [A. A MANUFACTURER OR WHOLESALE DISTRIBUTOR MAY NOT ENGAGE IN PRICE
29 GOUGING IN THE SALE OF AN ESSENTIAL OFF-PATENT OR GENERIC DRUG.

30 B. IT IS NOT A VIOLATION OF SUBSECTION A OF THIS SECTION FOR A
31 WHOLESALE DISTRIBUTOR TO INCREASE THE PRICE OF AN ESSENTIAL OFF-PATENT OR
32 GENERIC DRUG IF THE PRICE INCREASE IS DIRECTLY ATTRIBUTABLE TO ADDITIONAL
33 COSTS FOR THE ESSENTIAL OFF-PATENT OR GENERIC DRUG IMPOSED ON THE
34 WHOLESALE DISTRIBUTOR BY THE MANUFACTURER OF THE ESSENTIAL OFF-PATENT OR
35 GENERIC DRUG.]

36 36-4303. Attorney general; information required; enforcement
37 actions; civil penalty; confidentiality

38 [A. THE STATE MEDICAL ASSISTANCE PROGRAM MAY NOTIFY THE ATTORNEY
39 GENERAL OF ANY INCREASE IN THE PRICE OF AN ESSENTIAL OFF-PATENT OR GENERIC
40 DRUG IF BOTH OF THE FOLLOWING APPLY:

41 1. THE PRICE INCREASE, BY ITSELF OR IN COMBINATION WITH OTHER PRICE
42 INCREASES, WOULD RESULT IN AN INCREASE OF AT LEAST FIFTY PERCENT IN
43 EITHER:

44 (A) THE WHOLESALE ACQUISITION COST OF THE ESSENTIAL OFF-PATENT OR
45 GENERIC DRUG WITHIN THE PRECEDING ONE-YEAR PERIOD.

46 (B) THE PRICE PAID BY THE STATE MEDICAL ASSISTANCE PROGRAM FOR THE
47 ESSENTIAL OFF-PATENT OR GENERIC DRUG WITHIN THE PRECEDING ONE-YEAR PERIOD.

1 2. ONE OF THE FOLLOWING APPLIES:

2 (A) A THIRTY-DAY SUPPLY OF THE MAXIMUM RECOMMENDED DOSAGE OF THE
3 ESSENTIAL OFF-PATENT OR GENERIC DRUG FOR ANY INDICATION, ACCORDING TO THE
4 LABEL FOR THE ESSENTIAL OFF-PATENT OR GENERIC DRUG APPROVED UNDER THE
5 FEDERAL FOOD, DRUG, AND COSMETIC ACT, WOULD COST MORE THAN \$80 AT THE
6 ESSENTIAL OFF-PATENT OR GENERIC DRUG'S WHOLESALE ACQUISITION COST.

7 (B) A FULL COURSE OF TREATMENT WITH THE ESSENTIAL OFF-PATENT OR
8 GENERIC DRUG, ACCORDING TO THE LABEL FOR THE ESSENTIAL OFF-PATENT OR
9 GENERIC DRUG APPROVED UNDER THE FEDERAL FOOD, DRUG, AND COSMETIC ACT,
10 WOULD COST MORE THAN \$80 AT THE ESSENTIAL OFF-PATENT OR GENERIC DRUG'S
11 WHOLESALE ACQUISITION COST.

12 (C) THE ESSENTIAL OFF-PATENT OR GENERIC DRUG IS MADE AVAILABLE TO
13 CONSUMERS ONLY IN QUANTITIES THAT DO NOT CORRESPOND TO A THIRTY-DAY
14 SUPPLY, A FULL COURSE OF TREATMENT OR A SINGLE DOSE AND WOULD COST MORE
15 THAN \$80 AT THE ESSENTIAL OFF-PATENT OR GENERIC DRUG'S WHOLESALE
16 ACQUISITION COST TO OBTAIN A THIRTY-DAY SUPPLY OR A FULL COURSE OF
17 TREATMENT.

18 B. ON REQUEST OF THE ATTORNEY GENERAL, THE MANUFACTURER OF AN
19 ESSENTIAL OFF-PATENT OR GENERIC DRUG IDENTIFIED IN A NOTICE UNDER
20 SUBSECTION A OF THIS SECTION, WITHIN FORTY-FIVE DAYS AFTER THE REQUEST,
21 SHALL SUBMIT A STATEMENT TO THE ATTORNEY GENERAL THAT DOES ALL OF THE
22 FOLLOWING:

23 1. ITEMIZES THE COMPONENTS OF THE COST OF PRODUCING THE ESSENTIAL
24 OFF-PATENT OR GENERIC DRUG AND IDENTIFIES THE CIRCUMSTANCES AND TIMING OF
25 ANY INCREASE IN MATERIALS OR MANUFACTURING COSTS THAT CAUSED ANY INCREASE
26 IN THE PRICE OF THE ESSENTIAL OFF-PATENT OR GENERIC DRUG WITHIN THE
27 ONE-YEAR PERIOD PRECEDING THE DATE OF THE PRICE INCREASE.

28 2. IDENTIFIES THE CIRCUMSTANCES AND TIMING OF ANY EXPENDITURES MADE
29 BY THE MANUFACTURER TO EXPAND ACCESS TO THE ESSENTIAL OFF-PATENT OR
30 GENERIC DRUG AND EXPLAINS ANY IMPROVEMENT IN PUBLIC HEALTH ASSOCIATED WITH
31 THOSE EXPENDITURES.

32 3. PROVIDES ANY OTHER INFORMATION THAT THE MANUFACTURER BELIEVES TO
33 BE RELEVANT TO DETERMINING WHETHER A VIOLATION OF THIS ARTICLE HAS
34 OCCURRED.

35 C. THE ATTORNEY GENERAL MAY REQUIRE A MANUFACTURER OR A WHOLESALE
36 DISTRIBUTOR OF AN ESSENTIAL OFF-PATENT OR GENERIC DRUG TO PRODUCE ANY
37 RECORDS OR OTHER DOCUMENTS THAT MAY BE RELEVANT TO A DETERMINATION OF
38 WHETHER A VIOLATION OF THIS ARTICLE HAS OCCURRED.

39 D. ON PETITION OF THE ATTORNEY GENERAL AND SUBJECT TO SUBSECTION E
40 OF THIS SECTION, A SUPERIOR COURT MAY ISSUE AN ORDER:

41 1. COMPELLING A MANUFACTURER OR A WHOLESALE DISTRIBUTOR OF AN
42 ESSENTIAL OFF-PATENT OR GENERIC DRUG TO PROVIDE THE STATEMENT REQUIRED
43 UNDER SUBSECTION B OF THIS SECTION AND TO PRODUCE SPECIFIC RECORDS OR
44 OTHER DOCUMENTS REQUESTED BY THE ATTORNEY GENERAL UNDER SUBSECTION C OF
45 THIS SECTION THAT MAY BE RELEVANT TO DETERMINING WHETHER A VIOLATION OF
46 THIS ARTICLE HAS OCCURRED.

47 2. RESTRAINING OR ENJOINING A VIOLATION OF THIS ARTICLE.

1 3. RESTORING TO ANY CONSUMER, INCLUDING A THIRD-PARTY PAYOR, ANY
2 MONIES ACQUIRED AS A RESULT OF A PRICE INCREASE THAT VIOLATES THIS
3 ARTICLE.

4 4. REQUIRING A MANUFACTURER THAT HAS ENGAGED IN PRICE GOUGING IN
5 THE SALE OF AN ESSENTIAL OFF-PATENT OR GENERIC DRUG TO MAKE THE ESSENTIAL
6 OFF-PATENT OR GENERIC DRUG AVAILABLE TO PARTICIPANTS IN THE STATE MEDICAL
7 ASSISTANCE PROGRAM FOR A PERIOD OF UP TO ONE YEAR AT THE PRICE AT WHICH
8 THE ESSENTIAL OFF-PATENT OR GENERIC DRUG WAS MADE AVAILABLE TO
9 PARTICIPANTS IMMEDIATELY BEFORE THE MANUFACTURER'S VIOLATION OF THIS
10 ARTICLE.

11 5. IMPOSING A CIVIL PENALTY OF UP TO \$10,000 FOR EACH VIOLATION OF
12 THIS ARTICLE.

13 E. THE ATTORNEY GENERAL MAY NOT BRING AN ACTION FOR A REMEDY UNDER
14 SUBSECTION D, PARAGRAPH 2, 3, 4 OR 5 OF THIS SECTION UNLESS THE ATTORNEY
15 GENERAL HAS PROVIDED THE MANUFACTURER OR WHOLESALE DISTRIBUTOR OF AN
16 ESSENTIAL OFF-PATENT OR GENERIC DRUG WITH AN OPPORTUNITY TO MEET WITH THE
17 ATTORNEY GENERAL TO OFFER A JUSTIFICATION FOR THE INCREASE IN THE PRICE OF
18 THE ESSENTIAL OFF-PATENT OR GENERIC DRUG.

19 F. ANY INFORMATION PROVIDED BY A MANUFACTURER OR A WHOLESALE
20 DISTRIBUTOR OF AN ESSENTIAL OFF-PATENT OR GENERIC DRUG TO THE ATTORNEY
21 GENERAL UNDER SUBSECTIONS B AND C OF THIS SECTION IS CONSIDERED
22 CONFIDENTIAL COMMERCIAL INFORMATION UNLESS THE CONFIDENTIALITY OF THE
23 INFORMATION IS WAIVED BY THE MANUFACTURER OR WHOLESALE DISTRIBUTOR.

24 G. IN ANY ACTION BROUGHT BY THE ATTORNEY GENERAL UNDER SUBSECTION D OF
25 THIS SECTION, A PERSON WHO IS ALLEGED TO HAVE VIOLATED A REQUIREMENT OF
26 THIS ARTICLE MAY NOT ASSERT AS A DEFENSE THAT THE PERSON DID NOT DEAL
27 DIRECTLY WITH A CONSUMER RESIDING IN THIS STATE.]>>

28 Enroll and engross to conform

29 Amend title to conform

KIANA SEARS

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